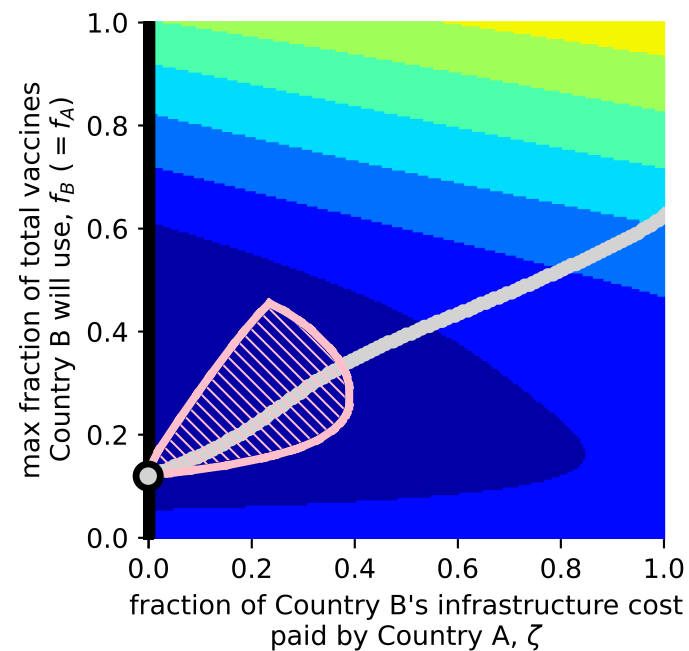


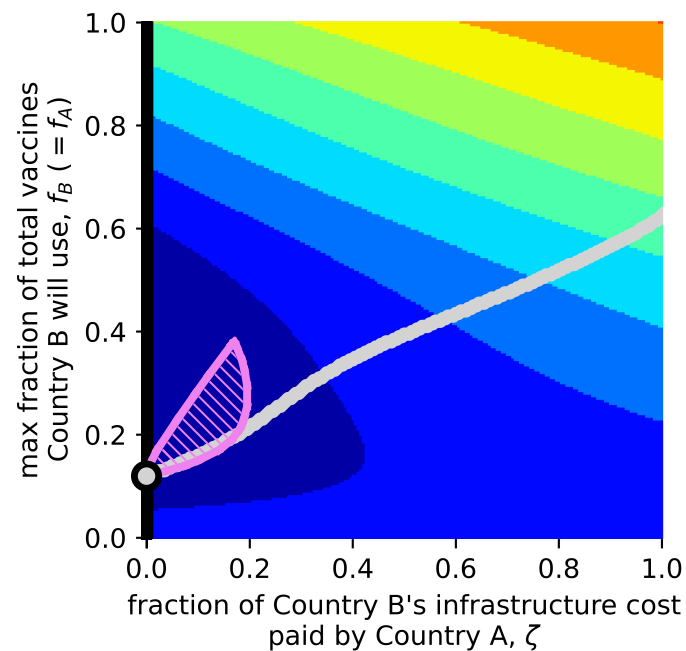
A

infrastructure development costs for Country A are 25% as costly as for Country B ($x=.25$)



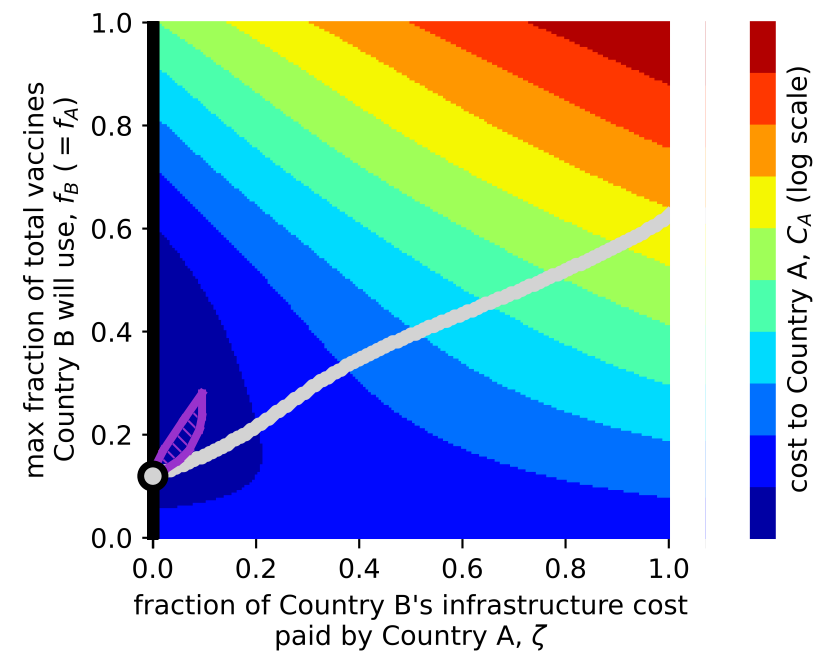
B

infrastructure development costs for Country A are 50% as costly as for Country B ($x=.5$)

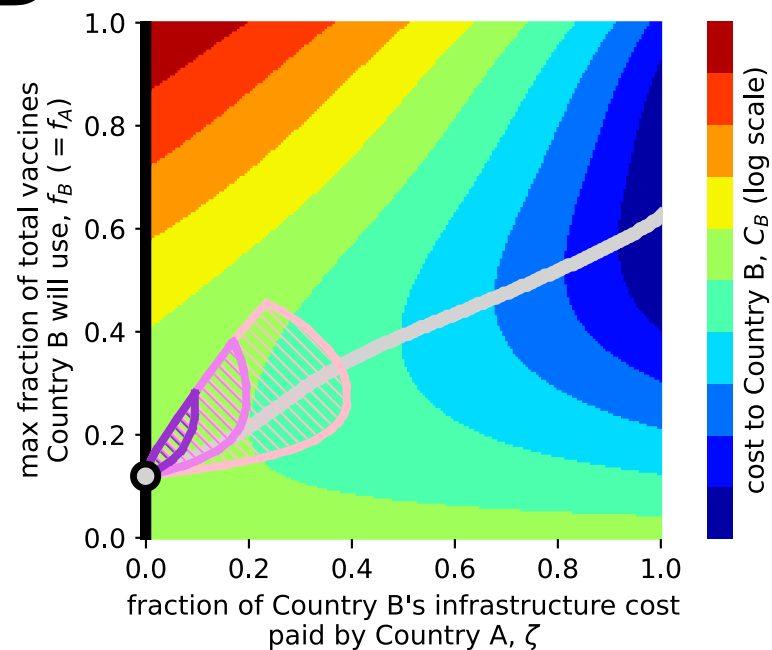


C

infrastructure development costs for Country A are 100% as costly as for Country B ($x=1$)



D



Country A's cost-minimizing values of f_A

Country B's cost-minimizing values of f_B

overlap (Nash equilibria)

regions of lower cost than Nash equilibrium for both countries, with infrastructure development costs for Country A...

25% as costly as for Country B ($x=.25$)

50% as costly as for Country B ($x=.5$)

100% as costly as for Country B ($x=1$)